

by a corresponding chance of profit. Securities included in Group IIB will differ from the common-stock type (Group III) in two respects: (1) They enjoy an effective priority over some junior issue, thus giving them a certain degree of protection. (2) Their profit possibilities, however substantial, have a fairly definite limit, in contrast with the unlimited percentage of possible gain theoretically or optimistically associated with a fortunate common-stock commitment.

Issues of the fixed-value type include all *straight* bonds and preferred stocks of high quality selling at a normal price. Besides these, there belong in this class:

1. Sound convertible issues where the conversion level is too remote to enter as a factor in the purchase. (Similarly for participating or warrant-bearing senior issues.)
2. Guaranteed common stocks of investment grade.
3. "Class A" or prior-common stocks occupying the status of a high-grade, straight preferred stock.

On the other hand, a bond of investment grade which happens to sell at any unduly low price would belong in the second group, since the purchaser might have reason to expect and be interested in an appreciation of its market value.

Exactly at what point the question of price fluctuation becomes material rather than minor is naturally impossible to prescribe. The price level itself is not the sole determining factor. A long-term 3% bond selling at 60 may have belonged in the fixed-value class (*e.g.*, Northern Pacific Railway 3s, due 2047 between 1922 and 1930), whereas a one-year maturity of any coupon rate selling at 80 would *not* because in a comparatively short time it must either be paid off at a 20-point advance or else default and probably suffer a severe decline in market value. We must be prepared, therefore, to find marginal cases where the classification (as between Group I and Group II) will depend on the personal viewpoint of the analyst or investor.

Any issue which displays the main characteristics of a common stock belongs in Group III, whether it is entitled "common stock," "preferred stock" or even "bond." The case, already cited, of American Telephone and Telegraph Company Convertible 4¹/₂s, when selling about 200, provides an apposite example. The buyer or holder of the bond at so high a